



How it works

The forex market provides a service to individuals, businesses, and governments who need to buy or sell currencies other than that used in their country.

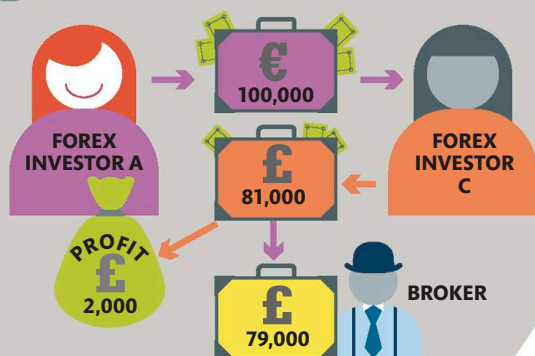
This might be in order to travel abroad, to make investments in another country, or to pay for import products or convert export earnings.

It is also a marketplace in which currencies are bought and sold purely to make profit via speculation. When trading very large volumes of currency, even small fluctuations in price can provide profits or losses.

The forex market is open 24 hours, 5 days a week, which makes it unusual, as equity markets have set daily trading hours and are closed overnight.

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Sterling falls against euro.
New selling price £0.81 to €1.00

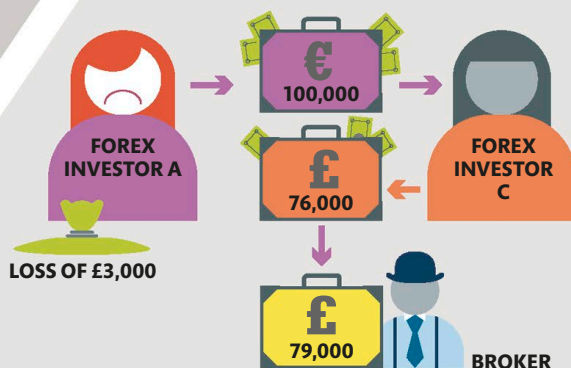


Outcome A

Outcome B

Investor A sees that the price to sell EUR/GBP is now £0.81 so she sells her stake to Investor C for £81,000, making a profit of £2,000 by taking advantage of small price differences, after paying commission to the broker.

Sterling rises against euro.
New selling price £0.76 to €1.00



Investor A sees that the price to sell EUR/GBP is now £0.76 and decides to sell her euros to Investor C for £76,000 before the rate slides any lower, making a loss of £3,000. She still has to pay commission to the broker even though she lost money on the trade.

10%

drop in value of
UK£ against US\$
the morning after
Brexit vote



NEED TO KNOW

- › **Currency pair** Two currencies that are being traded—for example US dollar and the euro.
- › **Spread** The difference between the price at which one of a currency pair is sold, and the price at which it can be bought; spreads change depending on the liquidity of the markets and the demand for the currencies being traded.
- › **Leverage** The option for individuals to trade higher values of currency than the cash in their forex account would cover.
- › **Stop loss** An order placed with a broker to sell currency once it reaches a certain price, to limit the losses investors experience when the market moves against them.
- › **Margin call** A request from a forex broker for an investor to increase their deposit, as the value of their investment has fallen below a certain point.